MADHUMATHIDATTA
SUSTAINABILITY SERVICES PVT. LTD.
ESG • BRSR • GHG • Net Zero • Carbon Neutral Assurance • Energy Audits

Badhe House, 6-3-788/36 & 35A, Durganager,
Ameerpet, Hyderabad – 500016, Telangana, India
T +91 83338 26183
E rageshjoshi@mdsspl.com
W www.mdsspl.com

Finding Report (CAR / CR / FAR)

Document No.	MDSSPL-VCS-R0003	Rev.	1.0	Issue Date	05 NOV 2026	Approved	Director
Service	Verra VCS – Verified Carbon Standard (Service code VCS)					Service Group	Carbon projects and credits

Engagement details			
Client / Organization		Engagement Ref.	
Site(s) / Boundary		Validation / Verification Type	☐ Initial ☐ Surveillance / Re-validation ☐ Follow-up
Criteria / Standards	☐ Verra VCS Standard (current version) ☐ Applied methodology ☐ ISO 14064-2:2019 ☐ ISO 14064-3:2019 ☐ ICVCM CCP ☐ CCB / SD VISta ☐ Other [ ]		
Project ID / Name		Monitoring / Crediting Period	
Engagement	☐ Validation ☐ Verification ☐ Pre-validation readiness		
Lead Validation		Date of Finding	

Finding			
Finding No.		Date Raised	
Type of Finding	☐ CAR – Corrective Action Request ☐ CR – Clarification Request ☐ FAR – Forward Action Request		
Category	☐ Critical ☐ Major ☐ Minor ☐ Concern		
Nature of Finding	☐ Emission reduction misstatement ☐ Methodology / programme non-conformity ☐ Documentation / evidence gap		
Project Area	☐ Eligibility ☐ Baseline / additionality ☐ Quantification ☐ Monitoring ☐ Safeguards	PD / MR Section	
Impact (tCO_2e)		% of Claimed ERs	

Description of finding		
Detail of finding		
Objective evidence (documents, records, data sampled, site observations)		
Requirement (quote the applicable clause / requirement)		
Clause reference	*Select from the lists below; add other criteria in the last row.*	
Verra VCS	– Select –	– Select –
ISO 14064-2:2019	– Select –	
ISO 14064-3:2019	– Select –	
Other criteria / ref.		
Lead Validator / Verifier		Auditee Representative

Date		**Date**	

Response by the client			
Root cause			
Correction (immediate)			
Corrective action			
Corrected emission reductions (tCO_2e)			
Proposed completion date		**Submitted by / Date**	

Review and closure by MDSSPL			
Acceptance of root cause and correction	☐ Accepted ☐ Not accepted Comments:		
Verification of corrective action			
Finding status	☐ Open ☐ Closed ☐ Carried forward as FAR ☐ Affects validation / verification opinion		
Lead Validator / Verifier signature		**Date of closure**	

Annex A – Verra VCS – Requirement Areas

Formal VCS validation / verification must be carried out by a Verra-approved VVB.

Clause / Ref.	Title / Requirement
Verra VCS Program – requirement areas	
VCS	Project eligibility and scope of the VCS Program
VCS	Applied methodology, tools and deviations
VCS	Project boundary, start date and crediting period
VCS	Baseline scenario and additionality demonstration
VCS	Quantification of baseline, project and leakage emissions
VCS	Non-permanence risk and buffer (AFOLU)
VCS	Monitoring plan, data and parameters
VCS	Safeguards, stakeholder consultation and no net harm
VCS	Double counting and registry requirements
VCS	Validation / verification by an accredited VVB
Optional	CCB Standards / SD VISta labels
ICVCM	Core Carbon Principles (CCP) label eligibility

Annex B – ISO 14064-2:2019 Clause Reference

Clause / Ref.	Title / Requirement
Clause 6 – Requirements for GHG projects	
6.1	General requirements
6.2	Describing the project
6.3	Identifying GHG SSRs relevant to the project
6.4	Determining the GHG baseline
6.5	Identifying GHG SSRs relevant to the baseline scenario
6.6	Selecting GHG SSRs for monitoring or estimating GHG emissions and removals
6.7	Quantifying GHG emissions and/or removals
6.8	Quantifying GHG emission reductions and removal enhancements
6.9	Managing data quality
6.10	Monitoring the GHG project
6.11	Documenting the GHG project
6.12	Verification and/or validation of the GHG project
6.13	Reporting the GHG project

Annex C – ISO 14064-3:2019 Clause Reference

Clause	Title	Typical verification focus
Clause 4 – Principles		
4.2	Impartiality	Verifier independence and absence of conflicts of interest
4.3	Evidence-based approach	Conclusions based on sufficient, appropriate evidence
4.4	Fair presentation	Findings and opinion reported truthfully and accurately
4.5	Documentation	Verification work and basis of conclusions documented
4.6	Conservativeness	Conservative assumptions where uncertainty exists
Clause 5 – Requirements applicable to verification		
5.1.3	Level of assurance	Reasonable or limited assurance agreed
5.1.4 – 5.1.6	Objectives, criteria and scope	Verification objectives, criteria (e.g. ISO 14064-1) and scope agreed
5.1.7	Materiality thresholds	Quantitative / qualitative materiality applied to findings
5.4.1	Verifier communication	Findings communicated to the responsible party for correction
5.4.2	Sufficiency of evidence	Evidence adequate to support conclusion on the finding
5.4.3	Intentional misstatement	Handling of suspected intentional misstatements
5.4.4	Documented information	Records of findings, responses and closure retained
Clause 6 – Verification		
6.1.1	Strategic analysis	Understanding of activities, sources and data flows
6.1.2	Risk assessment	Risks of material misstatement and non-conformity identified
6.1.3.2	Data trail	Tracing data from source records to the GHG statement
6.1.3.3	GHG information system and controls	Testing of controls over GHG data
6.1.3.4	GHG data and information	Testing of activity data, emission factors and calculations
6.1.3.5	Data aggregation process	Consolidation of facility data into the GHG statement
6.1.3.6	Verification activities and techniques	Analytical, control and estimate testing; sampling; ownership
6.1.4	Site visits	Site selection and on-site verification activities
6.2	Execution	Evidence-gathering carried out as planned
6.3.1.2	Sufficiency and appropriateness of evidence	Whether evidence supports closure of the finding
6.3.1.3	Evaluation of material misstatements	Individual and aggregate misstatements against materiality
6.3.1.4	Evaluation of conformity with criteria	Non-conformities with ISO 14064-1 or programme rules
6.3.1.5	Evaluation of changes from prior periods	Base-year / prior-period changes
6.3.2	Conclusion and draft opinion	Effect of unresolved findings on the opinion
6.3.3	Verification report	Findings summarised in the verification report
Clauses 8 – 10		
8	Independent review	Review of findings and conclusions before opinion
9	Issuance of opinion	Unmodified, modified, adverse opinion or disclaimer
10	Facts discovered after the verification	Handling of facts found after issue of the opinion

Annex D – Finding Types and Categories

Term	Meaning
CAR	Corrective Action Request: a misstatement or non-conformity that must be corrected and closed before a positive conclusion, opinion, certificate or claim can be issued.
CR	Clarification Request: information is insufficient or unclear to decide whether a requirement is met; the client must provide clarification or evidence.
FAR	Forward Action Request: an issue to be addressed and checked in the next period; it does not prevent the current conclusion.
Emission reduction misstatement	Baseline, project or leakage emissions or net reductions differ from the evidence.
Methodology / programme non-conformity	Applied methodology, tools or VCS rules are not followed.
Documentation / evidence gap	PD, monitoring report or records are incomplete.
Critical	Finding that alone makes the reported information materially wrong or prevents a conclusion; immediate correction required.
Major	Systematic or significant failure that could lead to a material error or invalid claim if not corrected.
Minor	Isolated lapse not likely to cause a material error or invalid claim on its own.
Concern	Observation or opportunity for improvement; no action is mandatory.

Severity categories are suggested definitions aligned with MDSSPL procedures. Clause titles are summarized for reference; refer to the licensed standards and current regulatory texts for full requirements.